

Business Performance Picks Up

CSB Bank's numbers were above our estimates on the profitability front mainly due to negative credit costs, stable margin and strong sequential loan growth, though the operating performance was adversely impacted by higher operating expenses and drop in processing fees income. Asset quality improved during the quarter, with GNPA at 1.81% (vs 2.62% QoQ) & NNPA at 0.68% (vs 1.36% QoQ).

- NII came in at INR 3038 Mn, + 0.2% QoQ / + 10.2% YoY and 6% below our est.
- Net Income came in at INR 3674 Mn, + 3.4% QoQ / + 8.2% YoY and 3% below our est.
- Opex came in at INR 2254 Mn, + 8.4% QoQ / -13% YoY and 5% above our est.
- PPOP came in at INR 1421 Mn, -3.7% QoQ / + 76.7% YoY and 13% below our est.
- Provisions came in at (INR 341 Mn), (INR 506 Mn) QoQ / INR 224 Mn YoY.
- PAT came in at INR 1307 Mn, -11.9% QoQ / + 205% YoY and 50% above our est.
- EPS stood at INR 7.5 vs INR 8.6 / INR 2.5 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

We remain positive on the stock given its favorable loan mix, sustained margins, and comfortable liquidity position. Besides, strong liability franchise, decline in credit costs, adequate capitalization, and healthy provision buffer add to positivity. We believe the current quarter's return ratios are optically high due to a one-off event, but the bank has the potential to register RoA and RoE of 1.6% and 14.9% in FY24, respectively. At CMP the stock trades at 1.3x its FY23E ABV and 1.2x its FY24E ABV. We assign BUY rating with a Target Price of Rs 276/share, valuing the stock at a target multiple of 1.4x FY23E ABV.

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	9.4	11.5	13.7	16.1
Net profit	2.2	4.6	4.0	4.9
Networth	21.8	26.5	30.5	35.5
EPS (Rs)	13	26	23	28
P/E (x)	18	9	10	8
P/Adj BV (x)	2.0	1.6	1.3	1.2
RoA (%)	1.0	1.9	1.5	1.6
RoE (%)	10.5	19.0	14.1	14.9

Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	276	21

Market data

Current price	Rs	228
Market Cap (Rs.Bn)	(Rs Bn)	40
Market Cap (US\$ Mn)	(US\$ Mn)	518
Face Value	Rs	10
52 Weeks High/Low	Rs	374 / 201
Average Daily Volume	('000)	137
BSE Code		542867
Bloomberg		CSBBANK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	49.7	49.7
Public	47.4	47.4
Total	100	100

Source: Bloomberg

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Financial Highlights

- Advances stood at Rs 158.15 Bn (9.5% YoY/8% QoQ). Corporate, and Agri & MFI loans witnessed steady growth, along with an uptick in gold loans, which were declining for H1FY22. Going forward, gold loans, SME and wholesale credit will be the key growth drivers for FY23, while volume build up in non-gold retail portfolio will take some more time as the company is building the necessary capabilities. In retail, the company has launched the new Personal Loan product and few others are in pipeline for launch in a phased manner in the coming years.
- On liabilities, the bank's deposits grew by 5.5% YoY/5.9% QoQ in Q4FY22 led by CASA growth of 10.3% YoY/3.2% QoQ taking CASA ratio to 33.7% (Vs 32.2% YoY). The bank avoids offering premium rates to attract deposit customers as these customers are not sticky. The bank has a loyal customer base and renewal rate for deposits is about 95% across the interest rate cycle. Moreover, the bank is well capitalised, with CAR stood at 25.9% (vs 20.7% QoQ), of which Tier I capital was 24.35% (vs 19.38% QoQ).
- Other income registered a growth of 22% QoQ (flat YoY), adversely impacted by lower processing fees (-44% YoY/-9% QoQ) and no PSLC Income (Rs 143 Mn in Q4FY21). However, commission income up by 3% QoQ & 28% YoY, supported by increase in Bancassurance income & LC/BG commission. Overall, Operational efficiency deteriorated during the quarter, with cost to income ratio stood at 61.3% (+285 bps QoQ), backed by higher opex growth of 17.5% QoQ vs lower net income (NII + other income) of 3.4% QoQ.
- For future business growth, the bank is investing in branches and sales personnel. Geographically, the bank will expand more into the West and North of India. Furthermore, the bank has been investing in strengthening the digital franchise, building digital capabilities for the future and the benefit of the same in terms of operating leverage would be seen in FY25.
- Slippage Ratio stood at 1.05% in Q4 FY22 (vs 2.37% QoQ/5.76% YoY), while recovery rate stood at 34.45% in Q4 FY22 (vs 47.41% QoQ/11.65% YoY). The bank is following an accelerated loan provisioning policy and all the toxic assets have been provided at rates far higher than the regulatory requirement. PCR, including technical write-off, improves to 89.65% (vs 82.95% QoQ/ 84.89% YoY). The bank is holding a standard asset provision of Rs 1.06 Bn in Q4FY22.

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Quarterly Financials

Rs Mn	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Interest Earned	4971	4953	4959	5277	5196
Interest Expended	2214	2275	2175	2243	2157
NII	2757	2678	2784	3033	3038
Other Income	637	712	598	522	636
Net Income	3395	3390	3382	3555	3674
Opex	2591	1643	1888	2080	2254
PPOP	804	1747	1494	1476	1421
Provisions	224	932	-91	-506	-341
PBT	580	815	1585	1981	1762
Tax	151	205	399	499	455
PAT	429	610	1186	1483	1307
Balance Sheet					
Net-worth	21802	22430	23635	25342	26514
Deposits	191400	186528	190555	190560	201883
Advances	144381	138172	140701	146370	158147
Growth (%)					
NII	75.0	44.5	21.4	20.8	10.2
PPOP	-24.9	35.4	25.5	-25.2	76.7
PAT	-171.9	13.9	72.1	179	205
Deposits	21.2	14.2	9.1	7.3	5.5
Advances	27.0	23.1	12.2	11.4	9.5
Efficiency (%)					
GNPA	2.7	4.9	4.1	2.6	1.8
NNPA	1.2	3.2	2.6	1.4	0.7
PCR	57.1	35.4	36.9	48.6	63.0
Credit Cost (annualized)	0.6	2.7	-0.3	-1.4	-0.9
C/I Ratio	76.3	48.5	55.8	58.5	61.3
CASA	32.2	33.1	32.6	34.6	33.7
Yields, Cost of Deposits & NIM					
Yield on Advances	11.3	10.6	11.4	11.6	11.2
Cost of Deposits	4.8	4.5	4.3	4.2	4.2
NIM	5.4	5.0	5.2	5.4	5.4

Source: Company, D&B Research

Financials

P&L (Rs Bn)	FY21	FY22	FY23	FY24	Ratios	FY21	FY22	FY23	FY23
Interest income	18.72	20.38	23.98	28.41	Growth (%)				
Interest expense	9.31	8.85	10.29	12.33	NII	59	23	19	18
NII	9.41	11.53	13.69	16.09	PPOP	84	19	24	21
Non-interest income	3.03	2.47	3.04	3.54	PAT	1616	110	-12	22
Net revenues	12.45	14.00	16.73	19.63	Advances	27	10	16	19
Operating expenses	7.29	7.86	9.13	10.44	Deposits	21	5	15	18
PPOP	5.16	6.14	7.60	9.19	Spread (%)				
Provisions	2.23	-0.01	2.21	2.62	Yield on Funds	9.4	8.7	9.2	9.5
PBT	2.93	6.14	5.39	6.57	Cost of Funds	5.0	4.1	4.4	4.6
Tax	0.74	1.56	1.36	1.66	Spread	4.4	4.6	4.9	5.0
PAT	2.18	4.58	4.03	4.91	NIM	4.7	4.9	5.3	5.4
					Asset quality (%)				
Balance sheet	FY21	FY22	FY23	FY24	Gross NPAs	2.7	1.8	1.6	1.3
Share capital	1.74	1.73	1.73	1.73	Net NPAs	1.2	0.7	0.6	0.6
Reserves & surplus	20.07	24.78	28.81	33.72	Provisions	56	63	61	58
Net worth	21.80	26.51	30.55	35.46	Return ratios (%)				
Deposits	191.40	201.88	231.74	274.27	RoE	10.5	19.0	14.1	14.9
Borrowings	14.26	20.07	17.32	14.99	RoA	1.0	1.9	1.5	1.6
Other liability	5.91	5.09	5.32	5.86	Per share (Rs)				
Total liabilities	233.37	253.56	284.92	330.58	EPS	13	26	23	28
Fixed assets	2.69	2.88	3.11	3.31	BV	126	153	176	204
Investments	61.26	70.12	78.76	90.82	ABV	116	147	169	197
Loans	144.38	158.15	183.35	217.69	Valuation (x)				
Cash	17.14	15.74	13.49	11.72	P/E	18	9	10	8
Other assets	7.90	6.68	6.22	7.04	P/BV	1.8	1.5	1.3	1.1
Total assets	233.37	253.56	284.92	330.58	P/ABV	2.0	1.6	1.3	1.2

Source: Dalal & Broacha Research, Company

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